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Assignment Set – 1

Q1. Explain the importance of International Business. Explain the challenges faced while doing international business. [5+5 = 10 Marks]

International business includes any deal that happens across national borders. This can be trade in goods and services foreign direct investment, licensing, franchising and cross-border partnerships. The importance of business has grown a lot. Now medium-sized and large companies do some form of international business.

* Market expansion is a reason for this. Domestic markets can only grow much. For example Apple made 58 per cent of its 2024 revenue outside the United States. Indian IT companies like TCS and Infosys get most of their income from clients in North America and Europe.

* When a company has used up its home market international operations are the way to keep growing revenue.

Doing business in countries helps reduce risk. If one market is doing poorly the company can still do well in another. This helps keep the company's performance steady.

Another reason is access to resources.

* Some countries have lower-cost labour, like Vietnam.

* Some have skills, like engineering in Germany.

* Some have materials, like the Democratic Republic of Congo.

However there are also challenges.

* Cultural differences affect how people negotiate, market products manage teams and expect things from consumers.

* What works in one country may not work in another.

* McDonalds sells food in India and Japan because one menu doesn't work everywhere.

Regulations also get more complicated with each country.

* Tax codes

* Labour laws

* Environmental regulations

* Data privacy laws

* Import tariffs

All these differ from country to country.

- * Currency changes can also cause risk.

- * For example an Indian exporter who earns dollars will make money if the rupee gets stronger.

- * Political instability, trade wars and sanctions can also disrupt business with warning.

- * Western sanctions on Russia, after 2022 are an example.

Q2. Write short notes on: 1. Impact of Demographic Environment on IB, 2. Culture and its impact on international business. [5+5 = 10 Marks]

Demographic factors like age distribution, income level, urbanisation rate, education attainment and population growth have an impact on international business. They affect both the people who buy things and the people who sell things. The age structure of a country determines what products people want to buy.

For example Japan has a lot of people so they need things like healthcare and financial products for when they retire.

In India the people are generally younger so they want things like education and stuff to buy when they are just starting out. The amount of money people have also affects what they can buy. Some companies that sell things focus on countries where people have a lot of money. Other companies like Unilever try to sell things to people who do not have much money by making smaller packages that are cheaper.

Where people live also affects how companies sell things to them. It is easier to sell things to people who live in cities because they have stores and internet. People who live in the country often need special helpers to get the things they need. How educated people are also affects what kind of jobs are available. Countries where people are very educated can get jobs that need a lot of knowledge. Countries where people are not as educated often get jobs that need a lot of workers.

The culture of a country is also very important. It is the shared values and beliefs of a society. A man named Hofstede came up with a way to understand these values. He said that some countries are very individualistic which means people think about themselves a lot. Other countries are collectivist which means people think about their group a lot. Some countries also have a difference between the powerful people and the not so powerful people. In these countries people who are in charge are often respected a lot. This affects how companies market their products. In some countries people like to hear about how great something's

In countries people like to hear that everyone is equal. Sometimes companies make mistakes because they do not understand the culture. For example colours can mean things in different countries. In some countries white is a colour but in other countries it is a happy colour. What people think is funny or not funny can also be different. Companies need to be careful about how they talk to their employees. In some countries it is okay to be very direct. Say what you think. In other countries it is better to be more polite and respectful.

Companies that take the time to learn about the culture of a country can avoid making mistakes. They often hire people, from that country to help them understand what to do.

Q3. Write notes on: Negative impact of Globalization, International Labor Organization. [5+5 = 10 Marks]

Globalisation has given us growth but it has not been shared fairly. This has led to some bad things happening.

Income inequality has become a problem. The people who own companies and have skills have gotten most of the benefits while workers without skills in developed countries have not seen their wages go up and have even lost their jobs because factories moved to places where labour's cheaper.

We often hear about what happened to workers in the American Midwest and parts of Northern England.

Globalisation has also led to workers being treated badly in global supply chains. We all remember what happened at the Rana Plaza factory in Bangladesh in 2013, where over 1,100 garment workers died. This showed us the cost of trying to reduce costs in the garment industry.

Even though some things have been done to improve conditions in that industry, such as the Accord on Fire and Building Safety workers are still being forced to work in conditions and are not safe in industries like mining, agriculture and electronics assembly.

The environment is also being damaged more and more. Globalisation has led to production and shipping which means more carbon emissions. Sometimes countries try to get investment by reducing their environmental standards, which is called the "race to the bottom".

Another problem with globalisation is that it can make local cultures disappear. Global brands and Western media can. Hurt local traditions, languages and small industries. The

International Labour Organization was started in 1919. Is based in Geneva. It is an agency of the United Nations because it has a tripartite governance structure, which means that governments, employers and workers all work together to make decisions.

The main job of the International Labour Organization is to create labour standards through conventions and recommendations. The International Labour Organization has eight conventions that cover things like the right to form unions, collective bargaining stopping forced and child labour and not discriminating against workers.

When a country agrees to one of these conventions it promises to put its rules into the countrys laws. The International Labour Organization does more than just create standards. It also helps its member countries with things like changing labour laws creating social protection systems making workplaces safer and starting employment programmes. The International Labour Organization also publishes data on global employment trends, wages and working conditions.

The International Labour Organization wants to make sure that globalisation is fair. It is pushing for a "fair globalisation" agenda that connects trade policies to labour rights to stop economic growth from happening at the expense of workers. The International Labour Organization is working hard to make globalisation fair, for workers. This is what the International Labour Organization is focusing on.

Assignment Set – 2

Q4. What is International Financial Management? Explain the types of International Accounting Standards. [5+5 = 10 Marks]

International Financial Management is about applying the principles of finance to a global business setting.

It deals with decisions that're n't relevant when you're only operating in one country

- like choosing the right currency for contracts
- managing foreign exchange risks
- deciding where to raise capital
- setting transfer prices between different subsidiaries,
- and minimizing taxes across different countries.

Foreign exchange risk is a concern. For example a Japanese company earning money in Germany is exposed to fluctuations in the yen-euro exchange rate.

To manage this risk companies use hedging instruments like contracts,

- currency options and cross-currency swaps
- each with its own costs and complexities.
- When it comes to capital budgeting
- companies add country risk premiums to their discount rates.

This means that a factory in an economy will have a lower hurdle rate than one in a country with a history of expropriation. There are accounting standards to help compare financial statements across borders. Without these standards the same economic transaction could be reported differently under national rules leading to different profit figures and undermining investor trust.

The International Accounting Standards Committee issued International Accounting Standards from 1973 to 2001.

These standards cover topics like

- IAS 1. Presentation of statements
- IAS 2. Inventories
- IAS 16. Property, plant and equipment
- IAS 38. Intangible assets.

Many of these standards are still in use today.

In 2001 the International Accounting Standards Board took over. Started issuing International Financial Reporting Standards.

Some key standards include

- IFRS 9. Instruments
- IFRS 15. Revenue from contracts with customers
- IFRS 16. Leases
- IFRS 17. Insurance contracts.

Over 140 countries now. Permit IFRS for listed companies. The United States has its Generally Accepted Accounting Principles,

- issued by the Financial Accounting Standards Board.
- GAAP is more rules-based while IFRS is more principles-based.

There are differences between the two, such, as inventory costing and development cost capitalization.

For corporations reporting under one framework while operating in jurisdictions that mandate the other adds significant cost and complexity.

Q5. Explain FDI. Elaborate on the advantages and disadvantages of FDI. [2+8 = 10 Marks]

Foreign Direct Investment is when a company or person from one country puts money into a business in another country and has a lot of control over that business. The International Monetary Fund says that if someone owns ten per cent of a company that is an amount. Foreign Direct Investment can be when someone builds a factory buys a company that is already in another country or works with a local company.

The country that gets the Foreign Direct Investment gets a lot of things. The money that comes into the country helps pay for roads, buildings and new technology that the country might not have been able to afford on its own. When a new factory is built it creates jobs for people who work there. It also creates more jobs in the area because of all the extra activity. Foreign companies also bring in skills and technology and local people can learn from them and even start their own businesses one day. For example South Korea used to make things for other countries but now it is a leader in technology.

For the company that is investing Foreign Direct Investment is good because it helps them get into markets get the resources they need and spread out their businesses so they are not just in one place. If a company makes things in the country where it sells them it does not have to pay much to import things and it can get things to customers faster.

There are also some bad things about Foreign Direct Investment for the country that gets the investment. When a foreign company makes money it takes that money out of the country. If it takes out more money than it put in then the country does not really benefit. If a country relies much on companies from other countries it can lose control over its own economy and if one of those companies decides to close a factory it can hurt the local community. Sometimes companies go to countries where the rules are not as strong and they can pollute the environment. If all the Foreign Direct Investment in a country is in one area, like manufacturing and that area has problems it can hurt the country.

Q6. Write notes on: Recruitment of Expatriates, Theory of Absolute Advantage. [5+5 = 10 Marks]

Expatriate recruitment is about finding and sending employees to work in a subsidiary. To do this job well the employee needs to have the skills but that is not enough. They also need to be able to adapt to a culture. In fact research shows that 20 to 40 per cent of assignments do not work out and this is often because the employee or their family cannot get used to the new country.

When selecting employees for these jobs companies look at things like language skills, experience working in countries openness to new cultures, emotional strength and how ready the family is. They use tests and interviews to evaluate these things. The family is very important in this process. If a spouse cannot work or a child is struggling in school it can cause problems for the assignment.

The pay for jobs usually includes a base salary, a cost-of-living allowance, a hardship allowance for difficult locations, housing, education for children help with moving and trips back home. The goal is to make sure the expatriate is not worse off financially than they would be at home. This approach can make expatriate packages more expensive than hiring people.

Now lets talk about the Theory of Absolute Advantage, which was first explained by Adam Smith in his book The Wealth of Nations in 1776. This theory says that a country should focus on making things it can produce cheaply and trade with countries for things it cannot make as cheaply. For example if Portugal can make wine cheaply than England and England can make cloth more cheaply than Portugal then both countries can benefit from trading with each other.

Adam Smith was arguing against an idea called mercantilism which said that a countrys wealth was measured by how gold it had and that it should try to export as much as possible while importing as little as possible. The Theory of Absolute Advantage shows that trade is not a zero-sum game. Both countries can benefit from trading with each other. However this theory has a limitation. It does not work if one country is better at making everything. David Ricardo later developed the Theory of Comparative Advantage, which says that trade is still beneficial even if one country is better at making everything long as the costs of producing things are different, in each country.